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Taiyo Yuden (6976) | Japan

F3/27 1Q Results: Weaker MLCC Sales Growth Versus Rivals

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- 1Q MLCC utilization was just shy of 85%, below 85-90% guidance. The firm expects utilization to reach just under 95% from 2Q onward.
- The firm raised full-year OP guidance to on par with our forecast. We do not expect earnings to materially exceed our forecast, which is based off ¥155/\$.
- We believe the increase in orders was more pronounced in commodity products, where competitors have announced price increases.

1Q results: OP was ¥4.8bn (our forecast ¥7.0bn, FactSet consensus ¥7.1bn), up ¥1.7bn YoY and ¥1.3bn QoQ. MLCC sales were ¥69.0bn, up 14.7% YoY and 7.9% QoQ. The MLCC book-to-bill ratio was 1.72 (0.96 a year ago, 1.31 in prior quarter), while utilization was 85% (85% and 85%).

F3/27 guidance: The firm raised full-year OP target from ¥30.0bn to ¥45.0bn (our forecast ¥45.2bn, consensus ¥41.3bn). MLCC sales guidance rose from ¥282.0bn to ¥316.5bn, while projected AI/data center-related MLCC sales growth rose from +80-85% YoY to +150% YoY. The firm is modeling from a rate of ¥160/\$ from 2Q.

Maintain UW rating: Taiyo Yuden indicated that current MLCC utilization is just under 95% and is likely to remain at a high level. While OP should increase from 2Q onward, full-year earnings are unlikely to materially exceed our forecast based on ¥155/\$. MLCC orders were ¥118.6bn in 1Q, up sharply from ¥84.1bn in 4Q. We believe the increase in orders was more pronounced in commodity products, where competitors have announced price increases.

Exhibit 1: Results Summary

(JPY bn)	F3/27 1Q			F3/27			F3/28	
	Actual	e	Con	e	Con	Ce	e	Con
Sales	93.9	94.2	94.1	411.3	399.0	424.0	475.1	454.3
YoY	11%	11%	11%	16%	12%	19%	16%	10%
OP	4.8	7.0	7.1	45.2	41.3	45.0	70.2	70.9
YoY	53%	123%	126%	126%	106%	125%	55%	57%
RP	4.3	6.7	7.6	44.0	40.5	42.0	69.0	70.4
YoY	1565%	2517%	2859%	83%	68%	74%	57%	60%
NP	2.5	4.7	5.0	30.8	28.6	29.0	46.9	50.1
YoY	-	-	-	108%	93%	96%	52%	63%
EPS (JPY)	18.2	34.1	39.2	224.0	221.7	219.0	340.9	389.4

e=Morgan Stanley Research estimates, Con=FactSet consensus, Ce=Company estimates. Source: FactSet, Company data, Morgan Stanley Research

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Taiyo Yuden (6976.T, 6976 JT)

Electronic Components | Japan

Stock Rating	Underweight
Industry View	In-Line
Price target	¥12,500
Shr price, close (Aug 5, 2026)	¥11,165
Mkt cap, curr, basic (bn)	¥1,396.2
Avg daily trading value (bn)	¥45.2

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Valuation Methodology and Risks

Taiyo Yuden (6976.T)

Derived from the base case. DCF assumptions: 2.6% risk-free rate, 1.35 equity beta, 3.2% risk premium, for 6.5% WACC; zero growth from F3/36.

Risks to Upside

- Increase in premium MLCC sales for AI/DC use.
- Power inductor sales for 5G handsets and others grow steeper than expected.

Risks to Downside

- We estimate a ¥1/US\$ move affects annual OP by ~¥0.9bn. Changes in the ¥/€ have limited effect.
- Since MLCCs are fitted in various electronic devices, demand depends to some extent on the rate of global economic growth, and prices can swing widely depending on S/D balances.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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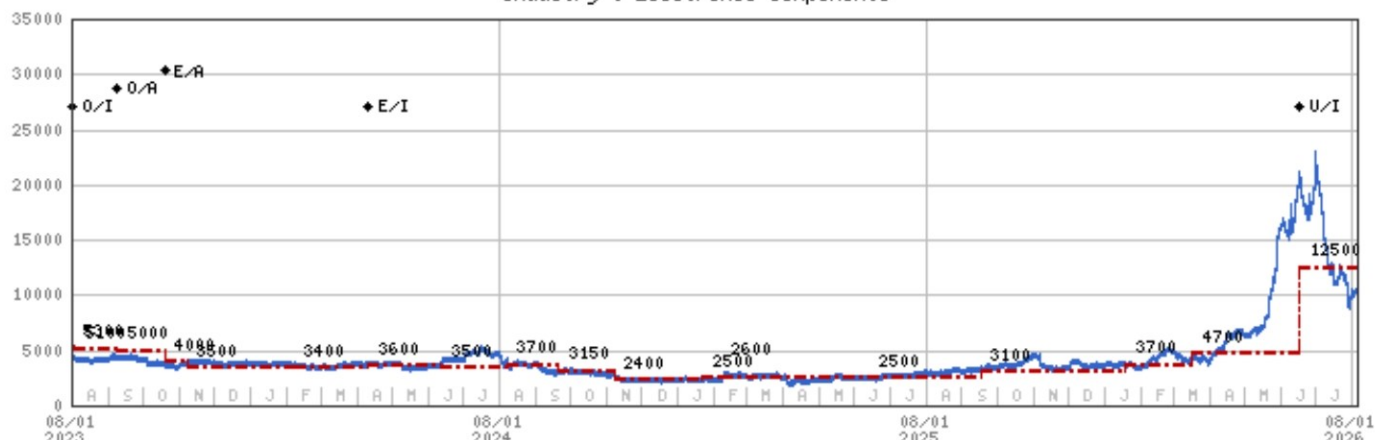
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Taiyo Yuden (6976.T) - As of 08/05/26 GMT in JPY
Industry : Electronic Components



Stock Rating History: 8/1/21 : E/I; 10/19/21 : U/I; 4/11/22 : E/I; 1/17/23 : O/I; 9/8/23 : O/A; 10/19/23 : E/A; 4/10/24 : E/I; 6/17/26 : U/I

Price Target History: 7/9/21 : 5700; 8/5/21 : 6400; 10/19/21 : 4900; 1/17/22 : 5200; 2/5/22 : 5000; 4/11/22 : 6200; 6/30/22 : 5300; 8/3/22 : 4900; 9/28/22 : 4500; 11/7/22 : 4100; 1/17/23 : 5000; 2/7/23 : 4900; 3/22/23 : 5000; 6/7/23 : 5300; 8/3/23 : 5100; 9/8/23 : 5000; 10/19/23 : 4000; 11/7/23 : 3500; 2/7/24 : 3400; 4/10/24 : 3600; 6/12/24 : 3500; 8/7/24 : 3700; 9/20/24 : 3150; 11/7/24 : 2400; 1/22/25 : 2500; 2/7/25 : 2600; 6/13/25 : 2500; 9/17/25 : 3100; 1/19/26 : 3700; 3/17/26 : 4700; 6/17/26 : 12500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Shoji Sato		
ALPS ALPINE (6770.T)	O (03/17/2026)	¥2,158
Hamamatsu Photonics (6965.T)	E (06/17/2026)	¥2,550
Ibiden (4062.T)	O (08/04/2026)	¥20,330
Kyocera (6971.T)	E (06/25/2020)	¥3,866
Mabuchi Motor (6592.T)	E (11/03/2022)	¥1,654
Minebea Mitsumi (6479.T)	E (10/23/2025)	¥4,096
Murata Manufacturing (6981.T)	O (11/26/2025)	¥7,829
Nidec (6594.T)	NR (09/05/2025)	¥2,785
Niterra (5334.T)	O (01/17/2024)	¥10,155
Taiyo Yuden (6976.T)	U (06/17/2026)	¥11,165
TDK (6762.T)	O (08/02/2022)	¥3,150
Sota Harashima		
CMK (6958.T)	E (02/28/2025)	¥670
Daishinku (6962.T)	U (06/17/2026)	¥808
Hirose Electric (6806.T)	O (07/10/2024)	¥27,545
IRISO Electronics (6908.T)	E (08/02/2022)	¥2,823
Japan Aviation Electronics Industry (6807.T)	E (01/17/2024)	¥2,364
KOA (6999.T)	E (06/17/2026)	¥2,665
Meiko Electronics (6787.T)	E (04/03/2026)	¥24,800
Nichicon (6996.T)	E (11/10/2021)	¥3,280
Nihon Dempa Kogyo (6779.T)	E (03/07/2024)	¥2,973
Nippon Chemi-Con (6997.T)	U (09/20/2024)	¥3,550

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.